The Macro Implications of the Blue Tsunami

Podcast: Odd lots

AI Executive Summary

1. Core Thesis: The episode analyzes the transformative political shift resulting from the November 5th elections, where Democrats secured control of both the House and Senate for the first time in decades, fundamentally altering the American legislative landscape beyond simple gridlock. The discussion highlights how this "Blue Wave" creates new structural hurdles for executive overreach (such as Trump's tariffs) while shifting state-level power dynamics overnight, particularly in states like Texas. Simultaneously, the episode examines the intersection of these political changes with macroeconomic realities, including persistent inflation driven by energy costs and AI capital expenditure, and the significant challenges in appointing Federal Reserve members under a divided government structure.

2. Key Arguments & Data:

3. **Election Outcome:** Contrary to pre-election forecasts (Nate Silver saw Senate as a coin flip), Democrats won both chambers decisively ("tsunami"). Texas, a traditionally "purple" state, shifted to "Deep Blue" status with the governor and legislature controlled by Democrats.
4. **Market Reaction:** Despite expectations that a Democratic victory would crush stocks (S&P 500 expected drop of 10%), the market held steady or rose initially. However, tech stocks in red states (SpaceX, Tesla) were hammered due to regulatory uncertainty and investment footprint in Texas.
5. **Federal Governance & The Fed:** Senate control makes confirming Federal Reserve nominees significantly harder as they require 6-year terms from a party that no longer has supermajority support. There is a "trust deficit" compared to the Supreme Court, making policy more resistant to change but also creating potential coordination on specific issues like tariffs.
6. **Tariffs & Executive Power:** While Trump retains veto power and executive authority over tariffs via orders, ag-states hold leverage on costs. Democrats could theoretically coordinate with Republicans in

agricultural sectors to limit executive trade policy abuse, though this requires substantial bipartisan shifts.

7. **State-Level Data Center Politics:** Political alignment in states like Texas, California, Georgia, Pennsylvania, Ohio, Virginia, and Wisconsin is now heavily aligned (Democratic control over data center construction approval), changing the regulatory environment for corporate America. California rejected new wealth taxes on personal property (Prop 42).
8. **AI & Economy:** The "non-AI economy" is not "soft," but AI spending remains dominant (~8% of GDP mix). Housing inflation remains high; energy services inflation persists due to geopolitical issues (Hormuz closure, refining capacity) and tariffs, pushing core inflation higher.

9. **2028 Nominees:** The Democratic field for the 2028 ticket is "large and flat." John Ossoff is currently a favorite, but the primary race will be competitive with multiple front-runners emerging post-midterms.

10. Actionable Takeaways:

11. **Investment Strategy:** Watch for continued volatility in tech giants (Elon Musk/SpaceX/Tesla) due to "red state" political footprints and uncertain regulatory environments under new Democratic control. Monitor data center construction trends across US states as governorships shift.
12. **Fed Policy Anticipation:** Assume Federal Reserve policy remains constrained by confirmation delays; inflation risks may persist longer than current models predict (potentially 3%+ vs. target 2%) due to energy and tariff costs rather than labor market strength.
13. **Political Monitoring:** Track the midterms of Texas state races closely for indicators of long-term blue shifts in business environments, particularly regarding incorporation laws and data center support policies.
14. **Election Cycle Planning:** For 2028 political strategy, anticipate a fragmented Democratic primary field requiring broad coalition-building, unlike previous cycles with clear frontrunners like Hillary Clinton or Barack Obama.

Full Transcript

Finance is increasingly being built on digital rails, but as the adoption of virtual assets, tokenization and stable coins grows, can regulation not only keep pace but help accelerate it? Find out more later in the podcast. and more to understand the power they wield, what drives them, and where they're taking us. Listen to the builders starting October 20th on the iHeart Radio App, Apple Podcast, or wherever you get your podcast. Bloomberg Audio Studios, podcasts, radio, news. Welcome to another episode of the OVLOD Podcast. I'm Joe Weisenthal. And I'm Tracy Allaway. Well Tracy I'm glad we did that episode that came out Tuesday with Nate Silver because he did go on record as like there's gonna be a blue wave and it turns out that was actually just this it was correct in some sense depending on how you measure wave but it was just like you know it's a tsunami yeah maybe like maybe bigger than a tsunami it was seismic for sure so as everyone knows by now the democrats took both the House and the Senate going into it as we discussed with Nate. I think most people thought there was a good chance they were gonna take control of Congress, right? The House was seen as a lock. The House was seen as a lock, but the big question was the Senate, which was like more of a coin flip. But Nate, Nate thought the Senate like was actually looking pretty good for the Democrats. He pushed back. I remember you're like, so the Senate is more of a coin flip base. Like, no, it's not.

It feels like a coin flip in your head, but the data say it's on a coin flip turned out with nothing close to up here turned out. So obviously the big question now for both markets and the economy is what changes under Democrat control. What can Trump still do? Of course, he posted that photo of his veto hat. on social you saw that right so the implication is that he can veto anything that the democrats try to push through he still has a lot of executive order power for things like tariffs so how much does this really change the other thing so the expectation going in to the midterms was that if Democrats actually win, this would be terrible for stocks, right? I know. And you saw Michael Hartnett from Bank of America, he said he thought the S&P 500 could fall 10% if Democrats went, yeah, apparently. Which turned out to be wrong because we saw a Democratic victory and I think the

S&P 500 was up like one and a half percent yesterday. Yeah, it was, but okay, but now we're recording this November 5th. Yeah. And it's 938 and the NASDAQ is getting hammered. So what is true?

And it was like isolated in the day after like SpaceX and Tesla, which have as companies put a lot of money, both in Texas and red Texas specifically, they got hit pretty hard. Some of these new clouds that have like dreams of expanding their footprint, et cetera, got hit pretty hard. Now there's kind of a mix. I don't know. Anyway, the other thing, by the way, that is relevant, of course, is any future. Fed governors in our world. In our world, you know, if there are any Fed governor appointments coming up. Anyway, to talk about all this, very excited to say, welcoming back to the show, perfect guest because he knows both worlds, Skanda Amornath, executive director of Employee America.

Actually all three worlds because in addition to knowing macro and politics are also sort of a market junkie, but you don't really talk about that as much publicly. We'll get you to do equity recommendations. We'll get Skanda's five lock picks for Q4. No, but for real. Let's stick just with the politics for a second. We're recording this November 5th. We all know what happened. But are there any dimensions of the earthquake tied away extinction level event for the GOP that stand out for you in some way? I mean, I think people are missing. Yeah, I think that the Senate itself, this is more structural, just really matters for the American government. It is sort of the institution that shapes who serves on the Supreme Court. It's the institution that shapes who serves on the Fed board. And for a long time, there's been a pretty structural advantage for the GOP.

Yes. And maybe that advantage is still true and this blue tsunami will be a one-off, but I think you'll at least see for Democrats there is a path ahead for how they could sustainably stay competitive in the Senate. That's not reaching to get to 50 to 51 votes. I think that can change a lot of different things. And the structural advantage for the GOP and the Senate comes down to the fact that if you take a state like Kansas or Iowa or whatever. They haven't seen a lot of population growth. Their share of like, but they still get two votes just like New York. And if there's ever a time when there's down to like 100 people left in Wyoming, they're probably the

assumption is gonna be Republicans and they're gonna have infinitely more influence over the rest of the country than New York. The Senate is about the number of states, not the number of people. The corn doesn't vote.

as they say except except I think what I would say what Bob Dole had some quote about basically Way more ag states and there are any other kind of state and that's that's gonna always count more I think that has some implications for sort of how kind of power shape from here for Democrats There's also just a sense of oh, this was actually possible I don't think Democrats expected to win in South Carolina unless they were in the any Andrews campaign Maybe I don't think they expected to win in Mississippi and it looks like at least that's gonna be coming really down to the wire So it just shows that there's different possibilities, which will also kind of shape how they govern, what kind of kind of map they want to sort of optimize towards in subsequent elections, which may just change the agenda to some degree. Okay. So the Senate is important, but I think the consensus assumption is still there's going to be some form of political gridlock because, you know, for instance, the Democrats don't have the 60 votes they need to like push through a Republican filibuster and stuff like that. On the other hand, I think if we learned anything from Tuesday's elections, it's that Trump seems to be politically toxic now on both the Republican and the Democratic side. So maybe there's a potential to come together on like a few issues, at least. Yes, it's not. In general, divided government tends to be gridlock, right? So I think it means it's harder to pass policy. It becomes harder to pass policy in a crisis. So if you think about it like we're talking about this in 2018, right? We were talking about, OK, there was the midterms effect, but Trump was kind of going forward with his.

kind of trade war, trade conflict issues. Fast forward 18 months later and you have sort of the CARES Act issues from COVID. It just required a lot of coordination. It kind of worked out then in terms of at least Congress passed a lot of different things. I'm not sure how it's going to play out this time, right? Because it does seem like there's clearly said the presidents were quite toxic. How polarized is it? Are Republicans willing to peel off? One thing that stood out from this election cycle was you could point to two very tangible things where. Policy really did matter, right? You could say tariffs could identify bleeding prices and the war clearly had an effect How

that does do any Republicans actually change their sort of approach to the president? I suspect that it's hard in the context of war to change a sort of executive action Tariffs is more interesting because you're talking about ag states. They're probably the ones who really like really holding the bag in terms of the cost of tariffs and sort of how they were executed by the president. But tariffs are being pushed through now purely by executive order. So how much power does anyone else have to change? And the question is, are there Republicans in the ag states? There's still plenty of them, right? And I'm talking about the middle of the country, west of the Mississippi, who clearly, I mean, I don't think John Thune really likes aggressive tariffs that has a lot of costs for farmers and for the ag industry. Are you able to peel off some of those to actually work on?

restricting sort of how much power the executive branch has over trade policy. These are all, again, quite reaches because it's going to require pulling off an additional set of Republicans to work with Democrats and work against the president. That's, again, I'm saying more tale scenario considerations. I'm sure Democrats will be happy to run on the idea that the president is raising costs through tariffs. But I mean, if you think about where policy can change, it would require quite a substantial amount of coordination with other republicans in the senate just from a numbers thing i mean i was in the chat with you on tuesday night you're like this is historic like what was the early on thing you're like oh this is like we're actually talking about a history making election yeah i think when you get early returns the thing you want to look for is county comparisons where you actually have all the vote in not just the early vote because who votes early changes cycle to cycle but when you actually get those like first few counties that whether it's in florida or kentucky or indiana And you were seeing in some cases, obviously the Florida, some of the swings were narrower relative to 2024, something closer to five to eight points. But then you saw like outlier changes in a lot of other counties where it was closer to 20 points. And then it was, okay, if it's 20 point swing from 2024 to 2026 in the same house race, yeah, those might be outliers, but it's telling you like, this is the distribution, right? And that distribution is there's like a long tail of outliers on the dem side. You're gonna see like pretty big swings.

in the end, what Texas, it seems like it's going to be close to double digits for. I've said it, but, you know, I've known a lot of people who work in Texas politics and they had like dream of like, well, maybe Texas will be a purple state one day. So I say you wrote a purple sweater today, by the way, very bipartisan. And I used to just make fun of those people. And then to wake up. And I know someone and it's like it's not even a purple state. It's like a deep blue state. I mean the scale It's a what's that bomb where people the new trip the new like a neutron bomb Yeah, yeah, well, there's not even any destruction. It just the people just disappear It's like and it's also not just the things that you hear about it's like the Comptroller the lieutenant governor education board they're gonna like change the University of Texas Regents because Someone just told me like that person's coming up for retirement and Hina host is gonna get to appoint his replacement like the entire state in one night essentially goes like hard Party rule like no one like look I know like the purple Texas stuff has been like for years Yeah, but now it's like you wake up one morning and Texas is not just like at least for two years It's really weird Like everyone, everyone is just like, this is like a very surreal thing to see. Yeah. I mean, I think that the scale of the victory itself points to, there's just like newer possibilities in a lot of these states. And when you kind of think about Texas, when I think about what the business class sort of called corporate America tends to tout certain states is like, this is the state you want to be. And like, obviously it was.

Texas for a long time. Tell us about this business court. No, this is important. We'll have to do a separate. I think you'll probably need to get a separate. What's the story here? So Texas has created a new business court, right? And there's a lot of. We did an episode on this. Oh, yeah. With the Delaware. Yeah. So there's a lot of corporate law competition in terms of where you want to set up your corporation. And there have been some lawsuits in Delaware that have rank old certain founders to say, oh, I have to do all this for shareholders. Can I find a more friendly place to incorporate? This was supposed. one of the reasons why Elon Musk moved to Texas. That is right. And so Texas has created a new business court also to kind of support that. And I think it's like all the statewide races Dems won. So there's a little obstacle where I think that is probably, this is the place where I feel like the surprise is probably in some ways most

underrated. It's like, oh, this guy's like, oh, Texas is perfect. Texas is the perfect business environment.

Political conditions can change and it clearly wasn't that bad. California just rejected the wealth tax and didn't they ban all wealth taxes going forward? Like, wasn't there two measures on the ballot? I'm not as familiar with the specifics of the California. I know that the wealth tax didn't pass. Clearly, there was a lot. I could be wrong. I think they also banned future wealth taxes. I think that would probably be probably some constitutional changes, I'm guessing, but it is. Clearly, that was very... controversial for a lot of reasons and a lot of money thrown at it, even in a state that is as blue as California, where it's basically dem versus dem in most races. I think these are, it's just telling that the state, the state landscape just looks a lot different for sort of what corporate America perceived. And when you think about the states that are kind of the leaders of kind of data center construction, AI, it's like, actually they're all, I think, now controlled by democratic governors. So if you think about Texas, Georgia, Pennsylvania, Ohio, Virginia.

even Wisconsin. The landscape is shifted in quite a way. Most power-related data center construction kind of resides at the state level, state and local, not federal. Okay, so I'm just reading killmatter.org. So the billionaire tax failed. But then there was a separate proposition 42, which prohibits new taxes on personal property such as business holdings, intellectual property and financial assets. So this one was put on by billionaires in the hopes that if the wealth tax passed that this one would cancel it out. And this one is also winning by a wide margin. So California might be just like the best place to do business. Yeah. What's next for Virtual Assets? I'm Jacob Greese, host of Economy Scale, a series exploring growth in key global sectors. And in this episode, we're diving into the digital forces shaping finance. Sean McHugh from Dubai-based Virtual Assets Registry Authority has this to say. We're seeing a lot of insucial players come in, digital asset dedicated hedge funds, high-frequency traders and that sort of thing, and folks who service insucial clients.

As more capital enters the market, adaptive regulation is likely to become increasingly key. A lot of regulators globally would like to keep the industry

at arm's length. That's the opposite here. I think also what you'll find is that regulation and frameworks can come out, but some of them are maybe a slight iteration on some 80-year-old policy and not actually in line with what the technology can do and offer. And again, that's very different in Dubai. Listen to the full episode wherever you get your podcasts. This series is brought to you by Bloomberg Media Studios and the Dubai Department of Economy and Tourism. Hi, I'm Barry Rithaltz inviting you to join me for the Masters in Business podcast. Every week we bring you conversations with the people who shape markets, investing and business. I speak with CEOs, Nobel laureates, market innovators and legendary investors.

Whether you own stocks, bonds, real estate commodities, even crypto, these are discussions you absolutely need to hear. Subscribe to the Masters in Business podcast on Apple, Spotify, or anywhere you listen. Can we talk more about data centers? So you mentioned things shifting very quickly, like literally overnight for a lot of states. And one of the headlines on the Bloomberg terminal this morning is open AI to change how it handles data center efforts after outcry. So it feels like the change is kind of filtering down to a corporate level pretty quickly. So they're not going to do NDAs anymore. They're not going to have actual residents pay for electricity of the data centers and things like that. The obvious question is, are we just going to see a big slowdown?

in data center construction. I suspect what will matter most there is economics more than the politics. And I do think that we were seeing, we're definitely seeing whispers and whiffs of this before the election itself. Oh, there's like markets aren't always rewarding more capex. How useful is this? Oh, and now we start to see the S1 from Anthropic. We haven't yet seen that on open AI. It's like, this is a lot of investment. It's a lot of risk. Do we just kind of keep greenlighting it because it's progressing the frontier? Or is there actually like, CapEx is also a burden. So I think we're seeing some of that, some of the rewarding of capital efficiency over just raw CapEx. Nevertheless, I feel like this is going to be a bit of a sea change in terms of the politics now where, yeah, look, if you take five or six governors and they all are of the same party, could presumably even

coordinate their own efforts if they really wanted to, that sort of changes how easy it is to do business.

for a long time, even in a lot of blue states, there were like a lot of tax breaks for data centers. And what's sort of seen as like, oh, we want to invite this economic activity. It's very good. And at least for the past 12 months, it got super toxic in terms of politically, that might not be the case going forward, or at least there may be a better path ahead. But yeah, clearly there are new variables for a lot of the hyperscalers, a lot of sort of the companies that are really kind of leading this sort of construction effort to kind of grapple with that they did not have to deal with before it's no Josh Shapiro and Greg Abbott.

probably two of the most like pro data center governors I can probably point to. I think they both made pivots and Josh Shapiro seems to have pulled off the pivot very successfully. Greg Abbott less so. That might just be a function of macro environment more than data center messaging in any way. But I think it is quite telling, right? That even those who are the most favorable towards this type of activity have had to like read the room, recognize that things have to change, at least to manage the electoral cycle. And I think the question from here is like, is there ability to rebrand any of this stuff? Or will there just be a focus on maybe we don't need to have such a heavy footprint. We can find other ways to kind of do what we need to do without attracting so much called nimbyism or any kind of like specific detractors in political space. Maybe we short USD MYR.

short the dollar ringet pair on the expectation that, well, yes, there will be the big semi, there will be the big compute shortage. that everyone is expecting on a certain maybe medium timeline. It's just not going to be built in the United, maybe it won't be built in the United States. But there are other jurisdictions where they're building a lot of data centers, including Malaysia. It's also interesting, you know, there's again, you sort of hinted at it, the economics, this sort of theory, well, maybe it's good for just like the existing hyperscalers already have pretty big footprints, maybe like this means that implicitly Meta gets to charge higher chip rents that it's a Louisiana data center, etc. It feels like there's a lot yet There's a lot we don't know about yeah rental prices for each 100 by the way went up yesterday.

Yeah, they're still going up. Yeah, yeah, there's definitely Depending on where you sit in the value chain Do you want maximal activity? Probably Jensen would love to have a maximum. Yeah, all the picks and shovels, the chip designers and makers. And then you have probably someone sitting in between is like anthropic and open AI or they need to be at the frontier, but they also know like ultimately they do have to show some prospect of sustainable profitability. And then you have the hyperscalers who probably there's a little bootleggers and Baptists type dynamic where it's.

We were all spending in some level of arms race gear. Do we have to keep spending? What was once the best business model in the world? Ads is now one that looks a lot more like an industrial. So I think for them, the CapEx is a cost, even if it's not showing up on sort of EBITDA, it's really showing up in the D and the A. No, and we definitely saw that shift in the market because they've gone from like spending cash on CapEx to borrowing in the bond market. And now some of them like Oracle are starting to issue new equities. So you can see like the pressure kind of filter through the cap stack for sure. Let's talk about FedJerk going back to Senate control. You mentioned the Senate and its importance to Fed appointments. Can you talk a little bit more about that? Yeah. So in the case of before this election or any I guess even now.

It's a lot easier to get your nominees through. Generally speaking, your own party is going to scrutinize your nominees to a much lesser degree than the opposition party. We saw several, even under Republican Senate control in was a 2018, 19, 20, there were a number of Fed nominees Trump chose that did not make it. So there was Judy Shelton, Steve Moore, Marvin Goodfriend. Now it's the challenge with it is I suspect there's going to be even more scrutiny. There are. Of course there will be more scrutiny. But like who's coming up like other. Well, there's one Jay Powell who is Jay Powell. His term ends the beginning of 2028. OK. He has stayed on longer. And now he can retire in peace. Right. I think the question for him is there's been this on on again off again issue of Fed investigations. I suspect he would like to roll off if he felt confident that it wasn't going to do anything to the institution.

That's sort of his comfort zone, I suspect, with respect to how the president can influence policy, what exactly is going on now within the building. But I think even if there's a vacancy for that seat, how quickly can that be filled? I suspect it's going to be very hard if Jay Palisade is a stay till the beginning of 2028. I think it's going to be really hard to fulfill that by the end of the term because you're going to have to get through. a lot of democratic sort of veto gates of sorts. So you have just like that math gets very difficult and so probably won't get filled. That'd be my that'd be my best guess. Unless they're able to find a way to really pick a nominee who can win over the trust of Democrats relatively quickly, coordinate that to some degree. I don't know with there's no there's not going to be any coordination with J. Powell. So I think that's good. That's itself going to be a challenge for how to kind of manage navigate that. So you're going to be left with.

the Fed board composition, but the thing is with the Senate is like, these are six-year terms, right? So it's gonna matter, the fact that like, it may be a one-off that Democrats win in South Carolina, maybe a one-off that is Mississippi or Kansas, but they're going to be there for a while, and that itself just tilts things for at least, yeah, another four, six years, even as there are other Senate cycles that'll happen. And so if you're thinking about who are gonna fill the subsequent seats, That tilt looks a little less favorable if you're trying to tilt it in a partisan direction. Now look, it really would be for the best if the Fed board did not take on a partisan character. I think the Fed board is less partisan than, say, the Supreme Court. The Supreme Court, we all kind of see that's got some very convenient splits of votes on key decisions that do take on a partisan character. That hasn't been the case even under, I don't know, Chris Waller will still vote in the same direction as Philip Jefferson. That hasn't changed so drastically.

But even so, you have a president right now who clearly would like to move policy in a specific direction, has been very vocal about that. And I think that's what, there's more sand in the gears here. There's more of a challenge actually. Gain insight on the innovators, disruptors, and tech-driven trends shaping today's complex economy. I'm Carol Masser. And I'm Tim Stenevich. Wrap up your work day with the Bloomberg Business Week Daily Podcast. We bring you deeper dives into the stories shaping your world from the evolution of AI to the shifting priorities of global business.

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you listen. Just real quickly, I like on the cure macro. So like, I feel like if we were having a conversation about the state of the economy, wow, Tesla shares declined 10% SpaceX shares fall another 7% 7.5% and they got hammered yesterday. Yeah, pretty hard. So these are like, man. Yeah, I mean, you have the unwind cost of money. Yeah, it's funny, it's funny where you have like this unwinding of the effects from the 2024 election response where you had a lot of stocks that really ripped after Trump won. I clearly put a lot of money behind Trump's election. He could have just paid taxes. I'm just building cars in space. It's really incredible in addition to being a great car industrialist and a great spaceship industrialist. He really decided to get into politics and he really may have just...

For nothing at the end like when we really look at like yeah, maybe 2028 and like what if he got anything out of like if he had just avoided the germ of like caring about politics Like I just doesn't seem like it's not even that it doesn't seem like it's the male urge to tweet Yeah, that's all it is. It really feels like it if male politics is useful to like have something to talk about on Twitter Yeah, I mean there's just like when you add when we tell you it up in the end the cost of like the cost of caring about posting, the cost of caring about what people are talking about on X, the cost of how to then influence the world through X just seems like may end up being one of the most colossal waste of like money we ever imagined, right? I mean, what has he got? Has he gotten one thing from caring about politics or caring about posting at all in his life?

So I guess it'll be to be determined about what he was able to get out of the experience of Doge in terms of his like knowledge of government, but I think it's But there's a John all tweet. I think it's quite aft here. It's like what political giving is the original wealth tax And like they really seem to be bad Especially like tech like just no intuitions. And either at any point, either what the important races are, or the things, or how to do it effectively, it just seems like zero intuition. And these are people who love talking about their, I'm updating my epistemic priors. Those people love, these are

people who love updating priors. They're like, oh, let me improve my epistemic here. Update my priors. And then they just get hit with the biggest blind spot.

And it just seems like it happens over and over again with these guys. It's like, first I'm gonna update some priors and then just completely step on a rate. Yeah, there's a lot of Dunning-Kruger to this stuff, right? Where it's just like, you think you know a lot and you actually, you're really at the beginning of like the learning curve. And we all have to be humble, right? We're all Dunning-Kruger all the time. Yeah, we are. These are people who pride themselves on the fact that they don't have this thing because they're so rigorous and they're sort of first principles thinking and systems thinking and all the, like this is, We are all done in Kruger. That's a given. What's remarkable about me is there's a whole group of people pride themselves on their rational, like I look at the data, all this stuff, and they seem to be, get it the worst. Yeah, I think it's also funny, because I spent 0.24, if you were sort of in tech and you were like, we're leaning, or you had just decided I'm gonna go to the right year, and so you throw a lot of money at it, and...

Success so that's like clearly the success is because I also contributed I did the smart thing and like well you did the same thing again and didn't quite work I feel like cause and effect are different from each other in some ways and so you might get sort of these like Elon, was he the cause of why Trump won? I don't think he was. But there were a lot of Democrats and liberals who I know were like, oh, he's the key factor behind this. And it's like, OK, no one's still giving a lot of money, but didn't quite work out the same way this time. So who actually has influence? Just on the macro stuff. A couple of months ago, we might have.

if we were just catching up with you talking about the macro, we might have said, well, the non-AI economy is soft. Maybe it's like getting stressed by higher rates. The AI economy is still absolutely booming. On that, we have a lot of inflationary pressure, et cetera. Where to read on right now the sort of the core impulses and, you know, do we have like a path not like, especially maybe if some of this AI spending cools off or like, how much work does the Fed have to do to get back to 2% inflation or whatever? What are the trends there? Yeah, so I think even by the sort of call it early part of

this year, we had already seen sort of a basing of that dynamic where it was, oh, the non AI economy soft and like we're headed, the Fed was lagging rate cuts as late as what the May meeting and that was just too late relative to where the economy was. The economy was solidifying after the government shutdown had ended. And so the risks were already tilted in the direction of, hey, the economy is like, it's not, I wouldn't say the non-AA economy is gangbusters, but it's fine. Like it's fine. It's been fine. It's nothing I would say is amazing, but all booms tend to be imbalanced. Housing is terrible still, right? Like housing is, housing stocking. Home builders started going up yesterday by quite a bit. Yeah, part of that is a rates move. And so you have just a.

There's clearly some effect of if you have less AI capex, you will have maybe a softer economy, lower interest rates. There's more room for other things to thrive. I'm quite skeptical that if you did see AI capex really cool off, these things tend to not be very linear. It tends to be more binary. It's on or off. And once it's off, is there something that's going to pick up that slack very quickly? That's obviously the Goldilocks outcome. Yeah, I'd say history suggests that it's hard to pull off. So we are obviously in a world where I was I'd still characterize it as an AI boom. I'd still say there's obviously a lot of activity going on. There's a lot of activity still booked to happen. But if the tide comes out, I'm not as convinced that there is going to be some big housing boom that offsets it. So another set of.

These things, those things take time to really get going as well. So you don't have this super nice sort of counter cyclicality here in terms of how the economy works. And so you have like the share of what I call the AI sensitive segments of spending in the kind of GDP mix have grown at such an enormous pace. It's something getting close to 8% of GDP. If I think about like just your tech hardware, tech software and industrial equipment, those categories itself make up such a large share of the U.S. economy from the demand side. Obviously, a lot of this imported, but it still matters. This is still like spending, spending is a risk. Spending is someone who is spending is putting that on their income statement, their balance sheet in the U.S. And so these dynamics are probably going to dictate the cycle. I think that's not actually at this point very original to say, but we have coming into this year, there's a sense of, oh, the non-AI economy soft. I'm not sure that's

quite true. It's like not amazing. The other side of his inflation, right, where we have three themes maybe four at this point that are going to matter. Look, the strain of Hormuz closure and to some degree, obviously the some of the refining capacity issues that are maybe tied also to the Russia-Ukraine conflict have clearly blown out sort of set of prices for jet fuel for and that has pushed up airfares quite considerably. So when people are saying, ah, well, services inflation is running hot. It's like because airfares are sensitive to energy. It's not necessarily because of labor market. Diesel prices are very high.

caught a lot of political attention, but the effects actually on the consumer have yet to be seen really, which is to say like there's a lot of, I'm curious for a lot of the food retailers who have had to take on additional energy costs through transport costs, are they gonna have to pass through higher prices than the food? Food services inflation, which actually does matter for core. That energy dynamic is clearly one big thing that I think, I suspect we're still kind of processing, it may not. be more aggressive in the next several months, but it may be called just as aggressive or pretty close to what we've seen in the last several months. Then you have the AI boom itself where it's still places where this is showing up. Again, maybe we're past the peak impulse, but it may be more durable than people realize in terms of we had a lot of prices that spiked for your laptops for various sort of things tied to memory, but there's still more things that could rise. So that might just mean that we had to deal with more durable inflation there.

And the third piece of this is obviously is tariffs itself. Look, there are a lot of categories that have already moved. There are some categories, notable categories that have not moved yet. Cars, right? Like you have not seen anything that's happened in the auto space. And some of that is because it's a different tariff regime there. But even so, there were a lot of the Canadian tariffs that were put on and on off on it. It's still cost that's not yet passed through to the consumer. And so I think those three themes are still with us. It may not mean that we're going to go to 4% inflation. But we may be stuck around three a lot longer than is currently suspected. Last question. Are we going to see a Democratic socialist on the ticket in 2028? Well, I prognostics probably probably not. I think that this is a pick. If you had to

pick, I mean, you don't have to say it on there. If you had to pick nominee, just to guess not a preference.

I think the prediction markets here is a ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah, ah. There's another segment that obviously likes to be competitive and win. Winning is also itself very kind of addicting and attracting. And so I imagine for those who are governors in a lot of states, they probably will want to push it. So whether that's Andy Beshear or Josh Shapiro, I think John Ossoff, the margins he won by are going to be very compelling. So I think Ossoff is a pretty reasonable favorite right now, but it's like it's really early. This will ping pong.

Back and forth. There's a pretty, the field is pretty, pretty large. There's no obvious front runner. Large and flat, basically. Large and flat. It's not like Hillary Clinton going into the 2016 cycle or even the 2008 cycle where she was clearly the front runner. And over time, Obama, John Edwards, the other one, who they, that was the race. We don't really know what the head to head will be, who will be the top three. I suspect Osoff is right now the front runner, but there are a lot of people who are the front runner coming right out of midterms. That could just change very quickly. All right, it's gone to Amronath. Thank you so much for breaking it all down. Thanks for coming on. Tracy, that's a lot of fun. I think this election was a sort of mini version of what we always talk about. It's like, wow, there's a lot of new stuff to consider. Yeah. It's just like, it's just, and no one really knows.

And it's just a lot of new things. And it happened literally overnight. It's really weird. Yeah. But like now, you know, for a long time when I sort of thought about the two parties, I thought it's like, OK, they're like, you know, roughly even in the grand scheme of things, Democrats, heavily coastal California, New York, New Jersey, et cetera, a few big cities. And then you're just like, no, like. The Democrats are a national party in a way. They haven't been in ages and in some places I just do not think the Republican Party exists that they were dominant in that's what it feels like in Texas to me Yeah, well, I mean Texas so I remember my dad is Texan he comes from like a small town outside of Dallas I remember my aunt used to be a closeted Democrat, she wouldn't tell her friends and family because it just

like wasn't socially acceptable like way up until the early 2000s, which is kind of crazy. But the one thing I'm thinking, a lot of this can change pretty fast. Like, you know, a lot has happened in the past two years, a lot could happen in the next two years, I remember after Watergate, there was a big democratic sweep, right? And then what like eight years later, Reagan was in office, something like that. People are comparing this election to the post Watergate election. And it's actually pretty good. Like it's both because of the scale, but because what are like the two things that's like high inflation and a deeply unpopular president together? Yeah.

And then you just get this. So maybe that is like the best analogy, but I really do think like, like, I don't know, I'm not, not a prediction, but things change really fast. And after the 2024 election, you know, there's a truly new map, not new map necessarily, but it looked like the sort of Trump version of the GOP had fully solidified and not only fully solidified had like one done extremely well. among various minority groups in a way that hadn't been seen before. So it's like, oh, we thought we thought we knew about the Democratic Party coalition. So it's like uncertainty is like, you know, let's just an epistemic humility on like the tech.

And like the tech billionaires who talk about their epistemic humility, I will actually. You've updated your world. I'm updating my priors as we speak. And I'm going to put it. I'm going to do some practice. Speaking of things that are changing very fast, the stock charts. Yeah. So in addition to SpaceX and Tesla, have you looked at sterling infrastructure? No, what do they do? They build data centers in Texas. And that looks like a dot com chart. Wow. Yeah, these are some really ugly charts. That's pretty well. That's it. Wow. That's that was a thousand dollar stock in June. And as of right now, it's a 255. Yeah. Isn't that crazy? That's a good chart. That's a good one. All right. Put that in the newsletter. Shall we leave it there? Let's leave it there.

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